

Multiple Choice (10 marks)

1. Which of the following events has no effect on GDP?
 - (a) A college buys computers.
 - (b) The Department of Transportation repaves a road.
 - (c) A city spends money to refurbish a public park.
 - (d) You buy a 1957 Chevy from a friend.
2. A monopsonist is identified by one of the following:
 - (a) A wage payment lower than the average revenue product of labor.
 - (b) Employment level lower than that of a competitive labor market.
 - (c) A single buyer of labor services.
 - (d) Employment level greater than that of a competitive labor market.
 - (e) A wage payment lower than the marginal revenue product of labor.
3. What is the immediate effect on the money supply if Bank A re-ceives a deposit of 1000 *incurrency from Mr. X and grants a loan of* 500 to Mr. Y?
 - (a) add \$1000 to the money supply
 - (b) add \$ 500 to the money supply
 - (c) no change in the money supply
 - (d) reduce \$1000 from the money supply
4. Households demand more money as an asset when
 - (a) the demand for goods and services decreases.
 - (b) the stock market crashes.
 - (c) bond prices fall.
 - (d) the nominal interest rate falls.
 - (e) the unemployment rate rises.
5. The government decides to levy a lump-sum tax which will reduce disposable income by \$50 billion. If the $MPS = 0.25$, what effect will this have on NNP?
 - (a) \$50 billion
 - (b) \$87.5 billion
 - (c) \$100 billion
 - (d) \$37.5 billion
 - (e) \$200 billion

True / False (10 marks)

Answer True or False

6. True or False: The correct answer to 'What are the dimensions of $\hat{u}^t \hat{u}'$ is 1×1 '.
6. True or False: Crowding out is less likely when the economy is in a boom period and the investment demand curve is perfectly inelastic.
7. True or False: A minimum wage in the market for fast-food workers is likely to create a shortage of available positions for these workers.
8. True or False: A value-added tax is a tax collected at each stage of production based on the value added to a product.
9. True or False: Lenin's economic theory primarily focused on the abolition of capitalism without addressing state welfare mechanisms.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Analyze the impact on the money supply when the Federal Reserve increases bank reserves by 500,000 with a required reserve ratio of 30.
11. Discuss how higher interest rates can mitigate the effectiveness of expansionary fiscal policy by affecting private investment. Analyze the potential implications for economic growth.

End of Paper